ITC

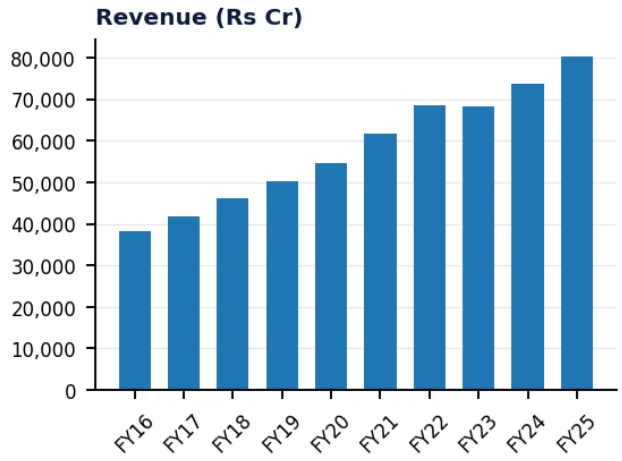
Sector: FMCG

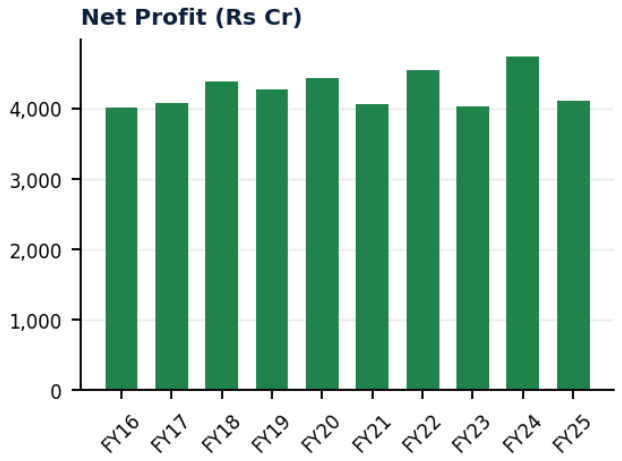
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
80,412	4,104	8.6%

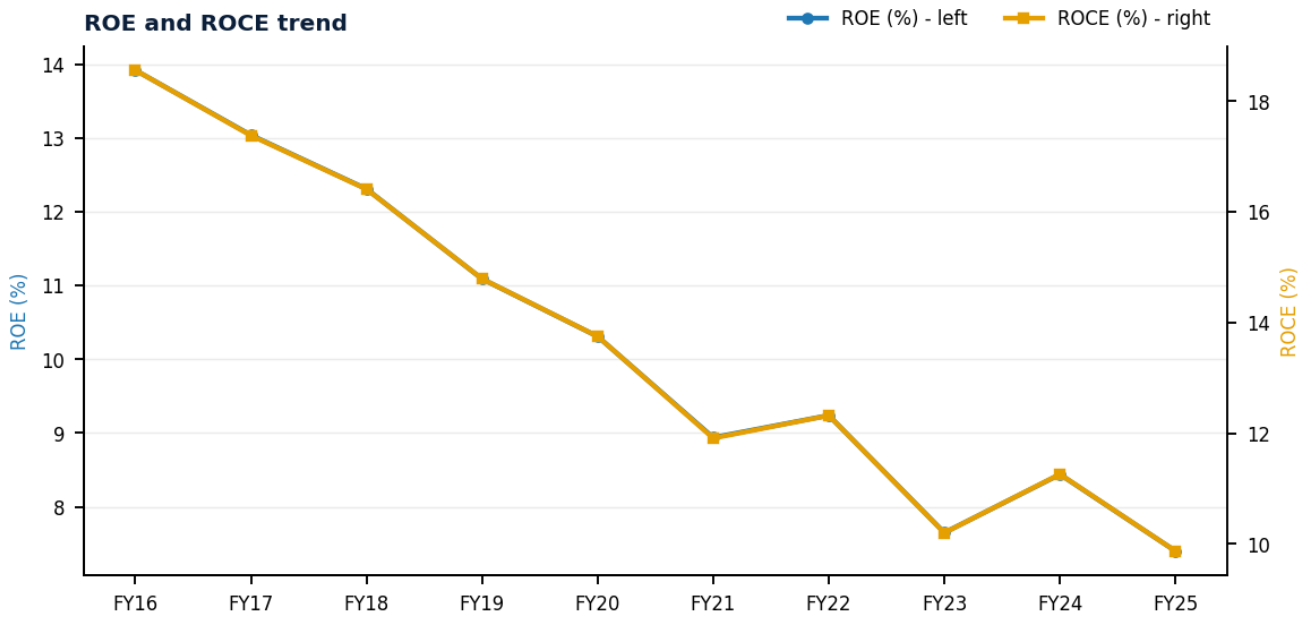
ROE (%)	ROCE (%)	Debt / Equity (x)
7.4%	9.9%	0.00x

10-year Revenue and Net Profit



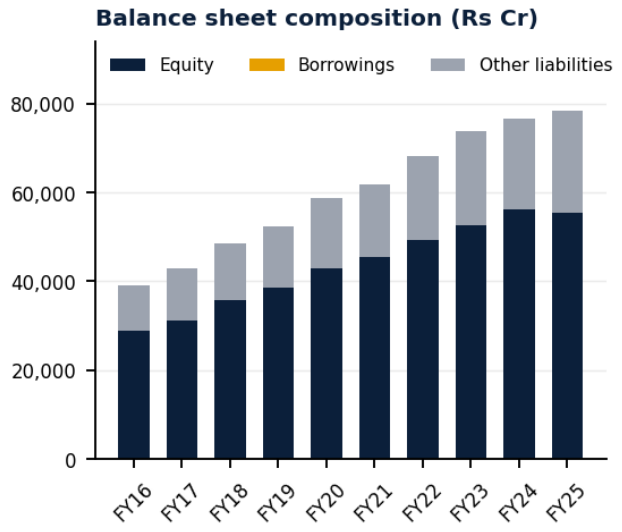


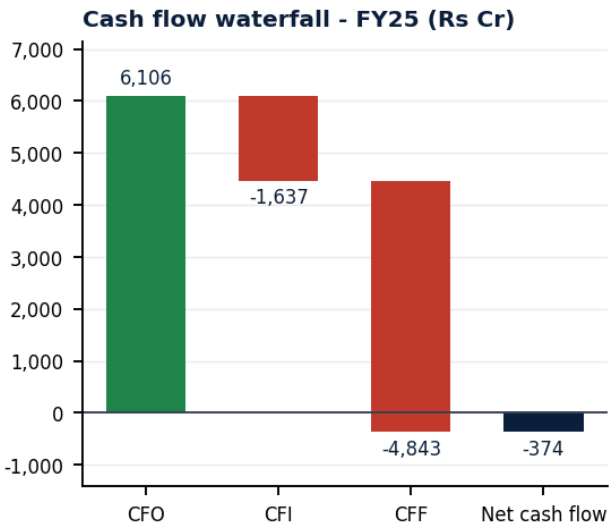
Return ratios (ROE and ROCE)



ITC

Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Debt-free balance sheet provides financial flexibility and eliminates interest burden (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)

Cons - what to watch

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (67%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (60%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.78)	**Asset Light (2.0%)**	**No**	**No**